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## PARTING REMINDERS

There are basic laws that control the investing universe, just as Newton's laws control the physical universe. I didn't discover them, but I have tested them in portfolio laboratories for many years and can verify their power. They have properties that attract wealth.

### **LAW I: Compound Interest**

Like all these laws, this is a very simple one. It says that if you have patience, your money pile can get very big.

You've seen the charts. Seven percent bonds will double your money in ten years if you reinvest the interest at the same rate. So even bonds can make you rich, given a few decades. Stocks treat you better, of course. The sooner you start, the more compounding can do for you. If, beginning at the age of twenty, you sock away just \$100 a month in stocks, and your portfolio compounds at 10 percent, which is what stocks have provided historically, you will be a millionaire when you retire at sixty-five. Save and invest, and save and invest some more, and you will be able to live very nicely indeed without having had to worry a lot about what the market's